MicroStar Logistics – Konvoy

MN-30003

Notice of Competition Concerns - Summary

13 May 2026

Contents

1. Introduction

1.1. On 6 February 2026, Kegstar Pty Limited (**Kegstar**), a wholly owned subsidiary of MicroStar Logistics, LLC (**MicroStar**), lodged a notification with the Australian Competition and Consumer Commission (**ACCC**) in respect of Kegstar's proposed acquisition of certain Australian assets of Konvoy Holdings Pty Limited (Receivers and Managers Appointed) (Subject to Deed of Company Arrangement) (**Konvoy**) (the **Acquisition**). The effective notification date for this notification is 20 February 2026.

1.2. On 1 April 2026, the ACCC decided that the Acquisition was to be subject to phase 2 review.

1.3. On 13 May 2026, the ACCC issued a Notice of Competition Concerns (**NOCC**) to MicroStar.

1.4. The NOCC must set out the ACCC's preliminary assessment of whether the Acquisition, if put into effect, would have the effect, or be likely to have the effect, of substantially lessening competition in any market, and the grounds on which the ACCC makes its assessment, referring to the evidence or other material on which those grounds are based.

1.5. This is a summary of the NOCC as required to be published on the Register.[1]

2. Background

Acquisition

2.1. On 11 March 2025, Konvoy was placed in voluntary administration and receivership. Messrs Hill, Hansell and Harlond of FTI Consulting were appointed as the administrators and Messrs Crawford and Smith of McGrathNicol were appointed as the receivers and managers of Konvoy. McGrathNicol undertook a sale process of Konvoy's assets in 2025, selecting Kegstar as the buyer.

2.2. On 20 June 2025, Kegstar (with MicroStar as the guarantor) entered into an Asset Sale Agreement with Konvoy. Under this agreement, Kegstar proposes to acquire the following assets:

- kegs,
- keg tracking technology hardware and software (known as 'Katch'),
- select employees,
- a keg repair and maintenance facility, which includes a property lease located in Dandenong South, Victoria, and
- other ancillary assets.

[1] See s 51ABZZI of the Competition Consumer Act 2010; 5-2(e) of the Competition and Consumer (Notification of Acquisitions) Determination 2025.

2.3. On 19 December 2025, Kegstar and Konvoy entered into a Side Deed to the Asset Sale Agreement which extended the sunset date for the agreement to enable Kegstar to obtain the necessary regulatory approvals. On 14 January 2026 a deed of company arrangement was executed in respect of Konvoy, and Messrs Hill, Hansell and Harlond of FTI Consulting became the deed administrators.

The acquirer – Kegstar

2.4. Kegstar is a wholly owned subsidiary of MicroStar, which is a limited liability company incorporated in the United States. Kegstar was acquired by MicroStar from Brambles Limited in 2021.

2.5. Kegstar primarily offers keg pooling services in Australia. Keg pooling services are explained at 2.11 to 2.13 below. It also offers longer-term keg leasing.

The target – Konvoy

2.6. Konvoy operates a keg services business in Australia and New Zealand. It offers keg pooling services, longer-term keg leasing, keg maintenance and repair services.

Overlap between the parties

2.7. Kegstar and Konvoy (together, the **Parties**) both primarily offer keg pooling services to customers in Australia. They also overlap in longer-term keg leasing, however this is a much smaller aspect of both businesses than keg pooling services.

Industry background

2.8. In Australia, beer and cider are mostly sold through two major channels, being:

- 'on-premise', which includes the sale of 'kegged alcoholic beverages' (served through taps) and 'packaged alcoholic beverages' (in bottles and cans) for consumption in licensed venues, and
- 'retail' where 'packaged alcoholic beverages' are sold in retail outlets.

2.9. A typical keg is made from stainless steel, has a capacity of 50L, can be stacked for easy storage, and is reusable. While kegs can come in other sizes and be made from materials other than stainless steel, the ACCC understands that those kegs usually serve specific use cases. For example, alcoholic beverage producers may use single-use plastic kegs when exporting alcoholic beverages as the kegs do not need to be returned and are typically cheaper.

2.10. Producers of alcoholic beverages (typically brewers)[2] who wish to have their drinks served on tap in licensed venues will fill empty kegs and then deliver them to licensed venues. Once a stainless-steel keg has been emptied at the venue, the keg must then be collected.

[2] We note that producers of wine and spirits also use kegs for some distribution.

2.11. Keg pooling (sometimes known as 'pay-per-fill' (**PPF**)) is a service in which a provider owns a pool of kegs and delivers empty kegs (using either its own vehicles or third-party logistics providers) to customers (which are primarily brewers). The kegs utilised by keg pooling service providers are generally made from stainless steel with a capacity of 50L.

2.12. Customers clean these kegs and fill them with alcoholic beverages and generally use their own choice of logistics provider to have the filled kegs delivered to licensed venues (known as forward logistics).

2.13. Once the keg(s) have been emptied at the venue, the keg pooling service provider then organises the pick-up of empty kegs (known as reverse logistics). These kegs may be stored at a warehouse if required or otherwise delivered directly to customers (not necessarily the customer that last used the keg) for the cycle to repeat. Customers pay for this service based on the number of times they fill these kegs.

3. Relevant areas of competition

3.1. The area of competition that the ACCC is considering for the purpose of assessing the Acquisition is the supply of keg pooling services in Australia.

3.2. Market definition is a purposive tool used to help assess whether an acquisition might have anti-competitive effects.[3] The approach taken by the ACCC seeks to take into account the most important competitive constraints on the merger parties that have been identified as part of the competition assessment. There may be no bright line that can be drawn around a market, and the relevant market that is identified for the purposes of the assessment is not intended to be determinative of the ACCC's competition assessment in a mechanistic way.[4] One tool that is used to provide an analytical framework to identify and evaluate substitution possibilities is the "SSNIP test", also referred to as "the hypothetical monopolist test", which involves determining whether a hypothetical monopolist supplier could profitably impose a small but significant non-transitory increase in price (most commonly between 5 and 10%) for the supply of a relevant product.[5]

3.3. At this stage of the review, the ACCC is taking a simple approach to defining the relevant market by focussing on the most important competitive constraints on Kegstar, noting that the Parties are the only two suppliers of keg pooling services in Australia.

3.4. As mentioned earlier, the Parties both offer longer-term keg leasing. Keg leasing is primarily used by customers as an alternative to keg ownership (rather than as an alternative to keg pooling) and only comprises a small component of the total keg services supplied by the Parties.

[3] ACCC, Merger Assessment Guidelines, 20 June 2025, p. 52.
[4] ACCC, Merger Assessment Guidelines, 20 June 2025, p. 51.
[5] See, e.g., *ACCC v Metcash Trading Ltd* (2011) 198 FCR 297 at [247]-[251].

Product market

3.5. The ACCC's preliminary view is that the relevant product dimension is the supply of keg pooling services. Keg pooling services are a way for customers to supply kegged beverages in licensed venues without the need for substantial investment in a fleet of kegs and associated logistics management.

3.6. Kegstar submits that the relevant market includes keg pooling services (which are described in some of the materials as PPF) and self-supply of kegs and logistics (which are described in some of the materials as unbundled solutions).[6] Konvoy submits that the relevant market includes keg pooling services, self-supply of kegs and logistics, as well as cans, bottles and other alternative packaging/storage options.[7] The ACCC acknowledges that there are other ways in which customers can have their beverages served on tap in licensed venues, including by using serving tanks and/or plastic kegs.[8] Some brewers may also choose to lease (or own) a fleet of kegs and coordinate both forward and reverse logistics (self-supply).

3.7. The ACCC's view is that these options are unlikely to be sufficiently close substitutes such that these customers would switch or significantly shift away from keg pooling services if a hypothetical monopolist keg pooling provider were to impose a price increase of 5 to 10%.

3.8. While serving tanks can be used to serve beer through taps, brewers indicate that the licensed venue needs to be specifically designed for this purpose due to factors including licensing and beer transportation requirements. Brewers consider that while serving tanks can negate the need for a brewer to organise reverse logistics of kegs, the use of serving tanks in a taproom requires significant capital investment for staffing and operation of a kitchen/bar. On this basis, the ACCC's preliminary assessment is that serving tanks are not substitutable for keg pooling services.

3.9. Similarly, the ACCC does not consider that plastic kegs are substitutable for keg pooling services. Kegstar indicated that plastic kegs are designed as a single-use item and so are disposed of (or recycled) once they are emptied.[9] Customers cited volume limitations, safety and environmental concerns, and cost as reasons for not using plastic kegs in place of keg pooling services. The ACCC understands that these are predominantly used by brewers for export purposes (or other scenarios where customers do not plan for the kegs to be returned).

3.10. The ACCC does not consider self-supply of kegs through ownership or leasing to be a close substitute for keg pooling services for the reasons explained below.

3.11. Customers who choose to self-supply by leasing or buying a fleet of kegs instead of acquiring keg pooling services will need to organise the reverse logistics for empty kegs to be returned to the customer from licensed venues (noting that customers are responsible for sending filled kegs to licensed venues in any case).[10]

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6 Kegstar, Notification of Acquisition, Accompanying Submission to Notification, 6 February 2026, pp. 2-3, para 2.4(b).

7 Konvoy, Submission to ACCC, 4 March 2026, pp. 1-2.

8 Kegstar, Notification of Acquisition, Accompanying Submission to Notification, 6 February 2026. pp. 2-3, para 2.4(b).

9 Kegstar, Accompanying Submission, 6 February 2026, p. 13, para 6.16.

10 Kegstar, Notification of Acquisition, Accompanying Submission to Notification, 6 February 2026, p.11, 'table 2: comparison between keg logistic solutions'.

3.12. Many of the Parties' keg pooling customers have indicated they would need to undertake significant capital investment to purchase a keg fleet that allows them to continue supplying the same number of licensed venues as they currently do.

3.13. On the evidence currently before the ACCC, this would only appear to be a viable alternative for a small subset of brewers (namely the large corporate brewers who already own large keg fleets but also utilise keg pooling services for a portion of their supply to licensed venues). Large corporate brewers would require a proportionately smaller investment of available capital in order to switch to full self-supply sufficiency.

3.14. Large corporate brewers account for a high proportion of drinks sold through taps in venues.[11] This means that their kegs are frequently delivered to licensed venues, and at the same time, a relatively higher number of empty kegs can be picked up at the same venue making reverse logistics easier for these brewers.

3.15. Information from market participants indicated that small brewers do not have their kegs emptied at the same rate as these large brewers. Many small brewers only send a small number of kegs to each licensed venue at a time. When emptied, these kegs will likely be left outside venues for extended periods of time unless actively collected, which increases the risk of lost or otherwise unrecovered kegs. In contrast, large brewers have enough volume that they are able to rely on passive collection of kegs to have kegs returned to them.

3.16. The ACCC's preliminary assessment is that the monitoring of where (and when) kegs are empty adds complexity and cost to the reverse logistics process for brewers and that this further reduces the likelihood that a significant number of brewers would switch from using keg pooling services to self-supply.

3.17. While some customers (both large and small brewers) may use multiple keg logistics solutions (for example, a mix of keg ownership and keg pooling), the ACCC does not consider that this indicates that these are sufficiently close substitutes such that customers would switch or significantly shift away from keg pooling services if a hypothetical monopolist keg pooling provider were to impose a price increase of 5 to 10%.

3.18. For example, the ACCC understands that many of these customers use their own kegs for their own licensed venues or venues that are geographically close to their production facilities, where reverse logistics are simple and not costly to organise. It is unlikely that customers would begin using their own kegs to serve venues that are further away and for which the reverse logistics are costlier or more onerous.

3.19. The ACCC also considers it unlikely that customers would switch to alternative forms of packaging for alcoholic beverages (such as cans and bottles) in response to a 5–10% increase in the price of keg pooling services. This is because:

[11] Kegstar, Notification of Acquisition, Accompanying Submission to Notification, February 2026, p. 29, para 9.23-9.24.

- excise tax rates on packaged alcoholic beverages (e.g. in cans and bottles) are significantly higher than kegged alcoholic beverages;[12] and
- customers are unlikely to be able to divert material volumes away from kegged alcoholic beverages sold in licensed venues to packaged alcoholic beverages because on a per litre basis, packaged alcoholic beverages are higher cost and lower margins for brewers. Additionally, smaller brewers also sell lower volumes of packaged alcoholic beverages because routes to market are harder to access.

Geographic market

3.20. The ACCC considers that the geographic market is likely to be Australia wide as the Parties both provide keg pooling services nationally.

Customer market

3.21. The ACCC is continuing to consider whether it is appropriate to define separate markets for different customer groups. This is because prices for keg pooling services are individually negotiated between providers and customers and it appears that some customers have different substitution options available to them than others.

3.22. For example, the ACCC is of the view that the extent (if any) to which countervailing power (through self-supply) would provide a meaningful constraint depends on the size of the customer (including their economies of scale and density).

3.23. Self-supply is less likely to be a viable option for smaller brewers. This means that, post-Acquisition, Kegstar could offer less favourable terms to those customers for whom self-supply is not a commercially viable option, for example, smaller brewers.

4. Summary of Preliminary competition assessment

4.1. The ACCC is considering the effects of the Acquisition by comparing the likely future state of competition if the Acquisition proceeds against the likely future state of competition if the Acquisition does not proceed.

4.2. The counterfactual assessment is a tool of analysis to assist the ACCC in considering whether there is a real chance that the Acquisition would result in a substantial lessening of competition.[13] In conducting its assessment, the ACCC will consider first, whether there is a real commercial likelihood that a particular future without the merger will eventuate;[14] and second, the intensity or degree of competition that would materialise if events did or did not eventuate.[15]

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[12] The Hon Anthony Albanese MP and The Hon Dr Jim Chalmers MP, Albanese Labor Government to Freeze Draught Beer Excise, 1 March 2025; ATO, Excise duty rates for alcohol, 28 January 2026, 'Alcohol rates for beer'.

[13] *ACCC v Metcash Trading Ltd* (2011) 198 FCR 297; ACCC, Merger Assessment Guidelines, June 2025, p. 63, para B.3.

[14] *ACCC v Pacific National Pty Ltd* (2020) 277 FCR 49 at [246] (Middleton and O'Bryan JJ).

[15] *ACCC v Pacific National Pty Ltd* (2020) 277 FCR 49 at [246] (Middleton and O'Bryan JJ).

The future with the Acquisition

4.3. In the future with the Acquisition, Kegstar will acquire the relevant assets of Konvoy identified at 2.2 above and will become the monopoly provider of keg pooling services in Australia.

The future without the Acquisition

4.4. The ACCC's preliminary view is that in the future without the Acquisition, there is a real chance that Konvoy's business or at least some of its assets would be sold to a purchaser who would use the assets in competition with Kegstar by providing keg pooling services in Australia.

4.5. The ACCC accepts that Konvoy is in financial distress and that the continuation of the Konvoy business in its existing form is unlikely. Accordingly, the ACCC considers that the counterfactual should be framed by reference to insolvency outcomes (i.e. sale or liquidation), rather than the status quo.

4.6. One possible counterfactual is that, absent the Acquisition, Konvoy would cease operations and enter liquidation, with its assets exiting the market. Based on the evidence currently before it, the ACCC does not consider it likely that this counterfactual will occur.

4.7. Another possible counterfactual is that, absent the Acquisition, Konvoy would be sold to an alternative purchaser. The ACCC's preliminary assessment indicates that the weight of the current evidence best supports a counterfactual involving a targeted sale process by the receivers involving bilateral negotiations, without requiring a (second) formal expression of interest campaign. Evidence before the ACCC indicates that there are a number of credible potential purchasers that have an interest in acquiring the Konvoy business or assets to operate a keg pooling service that the receivers could engage with for a targeted sale process.

4.8. In making its preliminary assessment, the ACCC does not consider the current evidence supports a finding that two providers could not operate under any ownership or operational configuration, nor that exit of one provider is the inevitable outcome absent the Acquisition. The ACCC's preliminary view is that there is a real chance that an alternative owner would seek to operate a second keg pooling business in Australia, rather than Konvoy exiting the market immediately.

4.9. Despite the ACCC's preliminary view that the most likely counterfactual is a targeted sale process, the ACCC acknowledges that there is also a real chance that Konvoy's assets may be liquidated. If this were to occur, the ACCC notes that Konvoy's liquidators would be expected, in accordance with their duties, to exercise the power of sale reasonably and realise the assets for the best possible price in the circumstances so as to give maximum benefit to the creditors.[16] If a targeted sale to an alternative purchaser was not achieved, the ACCC considers that the next most commercially likely scenario is a liquidation-related sale outcome where Konvoy's assets remain in the industry.

[16] *McPherson's Law of Company Liquidation*, [8.1130], [8.2120].

Competitive effects in the supply of keg pooling services

4.10. The ACCC's preliminary view is that the Acquisition would have the effect of substantially lessening competition in the market for keg pooling services in Australia.

4.11. On the evidence currently before it, the ACCC considers:

- Post-Acquisition, Kegstar would not face significant competition because it would become the sole provider of keg pooling services;
- Customer countervailing power, for example, self-supplying through keg leasing or ownership and return logistics, is unlikely to sufficiently constrain Kegstar. This is because for a substantial portion of keg pooling customers, the option of bypassing the merged entity for a significant volume of their demand is not a credible threat. Because of this, Kegstar will be able to profitably price discriminate against these customers; and
- It is unlikely that there would be timely new entry or expansion at sufficient scale to replace the loss of competition due to the Acquisition.

5. Next steps

5.1. Following the release of the NOCC, and consistent with section 51ABZL of the Act, the notifying party (Kegstar) has an opportunity to respond to the preliminary issues identified in the NOCC by 22 June 2026.

5.2. Under the current statutory timeframe, the ACCC must issue a determination in response to the Acquisition by 17 August 2026.